Form
1040

U.S. Individual Income Tax Return

Department of the Treasury—Internal Revenue Service
For the year Jan. 1–Dec. 31, 2025, or other tax year beginning ____, ending ____

OMB No. 1545-0074
2025

Filing Status ☐ Single ☒ Married filing jointly ☐ Married filing separately (MFS) ☐ Head of household (HOH) ☐ Qualifying surviving spouse (QSS)

Your first name and middle initial	Last name	Your social security number
Nathan	Brightwater	**000-00-1301**
If joint return, spouse's first name and middle initial	Last name	Spouse's social security number
Elise	Brightwater	**000-00-1302**
Home address (number and street)	City, town, or post office	State ZIP code
7785 Fernwood Bay	Maple Grove	**MN** **55369**

Digital Assets At any time during 2025, did you: (a) receive (as a reward, award, or payment); or (b) sell, exchange, or otherwise dispose of a digital asset? ☐ Yes ☒ No

Standard Deduction Someone can claim: ☐ You as a dependent ☐ Your spouse as a dependent

Age/Blindness **You:** ☐ Were born before January 2, 1961 ☐ Are blind **Spouse:** ☐ Was born before January 2, 1961 ☐ Is blind

Dependents (see instructions)

(1) First name Last name	(2) Social security number	(3) Relationship to you	(4) Child tax credit	Credit for other dep.
Clara Brightwater	000-00-1311	Daughter	☒	☐
Jonah Brightwater	000-00-1312	Son	☒	☐
Wren Brightwater	000-00-1313	Daughter	☒	☐

Income

1a	Total amount from Form(s) W-2, box 1 (see instructions)					**1a**	410,000
1b	Household employee wages not reported on Form(s) W-2					**1b**	
1c	Tip income not reported on line 1a (see instructions)					**1c**	
1d	Medicaid waiver payments not reported on Form(s) W-2					**1d**	
1e	Taxable dependent care benefits from Form 2441, line 26					**1e**	
1f	Employer-provided adoption benefits from Form 8839, line 29					**1f**	
1g	Wages from Form 8919, line 6					**1g**	
1h	Other earned income (see instructions)					**1h**	
1i	Nontaxable combat pay election					**1i**	
1z	Add lines 1a through 1h					**1z**	410,000
2a	Tax-exempt interest	**2a**		**b** Taxable interest		**2b**	5,600
3a	Qualified dividends	**3a**	23,000	**b** Ordinary dividends		**3b**	28,400
4a	IRA distributions	**4a**		**b** Taxable amount		**4b**	
5a	Pensions and annuities	**5a**		**b** Taxable amount		**5b**	
6a	Social security benefits	**6a**		**b** Taxable amount		**6b**	
	6c If you elect to use the lump-sum election method, check here (see instructions) ☐						
7	Capital gain or (loss). Attach Schedule D if required					**7**	14,800
8	Additional income from Schedule 1, line 10					**8**	
9	**Add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, and 8. This is your total income**					**9**	458,800
10	Adjustments to income from Schedule 1, line 26					**10**	
11a	**Subtract line 10 from line 9. This is your adjusted gross income**					**11a**	458,800

Tax and Credits

11b	Amount from line 11a (adjusted gross income)	**11b**	458,800
12	Standard deduction or itemized deductions (from Schedule A)	**12**	31,500
13a	Qualified business income deduction from Form 8995 or Form 8995-A	**13a**	
13b	Deductions from Schedule 1-A, line 38	**13b**	
14	Add lines 12, 13a, and 13b	**14**	31,500
15	**Subtract line 14 from line 11b. If zero or less, enter -0-. This is your taxable income**	**15**	427,300
16	Tax (see instructions). Check if any from Form(s): 8814 4972 ____	**16**	84,844
17	Amount from Schedule 2, line 3	**17**	
18	Add lines 16 and 17	**18**	84,844
19	Child tax credit or credit for other dependents from Schedule 8812	**19**	3,650
20	Amount from Schedule 3, line 8	**20**	
21	Add lines 19 and 20	**21**	3,650
22	Subtract line 21 from line 18. If zero or less, enter -0-	**22**	81,194
23	Other taxes, including self-employment tax, from Schedule 2, line 21	**23**	1,854
24	**Add lines 22 and 23. This is your total tax**	**24**	83,048

Payments

25a	Federal income tax withheld from: Form(s) W-2	**25a**	86,371
25b	Form(s) 1099	**25b**	
25c	Other forms (see instructions)	**25c**	
25d	Add lines 25a through 25c	**25d**	86,371
26	2025 estimated tax payments and amount applied from 2024 return	**26**	
27	Earned income credit (EIC)	**27**	
28	Additional child tax credit from Schedule 8812	**28**	
29	American opportunity credit from Form 8863, line 8	**29**	
31	Amount from Schedule 3, line 15	**31**	
32	Add lines 27, 28, 29, and 31. These are your total other payments and refundable credits	**32**	
33	**Add lines 25d, 26, and 32. These are your total payments**	**33**	86,371

Refund

34	If line 33 is more than line 24, subtract line 24 from line 33. This is the amount you overpaid	**34**	3,323
35a	Amount of line 34 you want refunded to you	**35a**	3,323
36	Amount of line 34 you want applied to your 2026 estimated tax	**36**	

Amount You Owe

37	**Subtract line 33 from line 24. This is the amount you owe**	**37**	
38	Estimated tax penalty (see instructions)	**38**	

Sign Here Under penalties of perjury, I declare that I have examined this return and accompanying schedules and statements ... (signature not reproduced on sample)

Your occupation: VP of finance Spouse's occupation: Physician assistant

Paid Preparer Use Only Preparer: Sample Preparer (fictional) PTIN P00000000 Firm: Lakeside Sample Tax Office (fictional) Firm EIN 00-0000001 Phone 612-555-0100

SAMPLE — FICTIONAL TEST DATA — NOT A REAL RETURN

SCHEDULE 2

(Form 1040)

Additional Taxes

Department of the Treasury—Internal Revenue Service

Attach to Form 1040. Attachment Sequence No. 02

OMB No. 1545-0074

2025

Name(s) shown on return: Nathan & Elise Brightwater

Your social security number: 000-00-1301

Part I Tax

1z	Additions to tax (excess advance premium tax credit, etc.)	**1z**	
2	Alternative minimum tax. Attach Form 6251	**2**	
3	Add lines 1z and 2. Enter here and on Form 1040, line 17	**3**	0

Part II Other Taxes

4	Self-employment tax. Attach Schedule SE	**4**	
8	Additional tax on IRAs or other tax-favored accounts. Attach Form 5329	**8**	
11	Additional Medicare Tax. Attach Form 8959	**11**	
12	Net investment income tax. Attach Form 8960	**12**	1,854
21	Add lines 4, 7 through 16, and 18. These are your total other taxes. Enter on Form 1040, line 23	**21**	1,854

SCHEDULE B
(Form 1040)

Interest and Ordinary Dividends
Department of the Treasury—Internal Revenue Service
Attach to Form 1040. Attachment Sequence No. 08

OMB No. 1545-0074
2025

Name(s) shown on return: Nathan & Elise Brightwater

Your social security number: 000-00-1301

Part I Interest

1 List name of payer

1	Lakehollow Savings Bank	1	5,600
2	Add the amounts on line 1	2	5,600
4	Subtract line 3 from line 2. Enter the result here and on Form 1040, line 2b	4	5,600

Part II Ordinary Dividends

5 List name of payer

5	Kestrel Ridge Brokerage	5	28,400
6	Add the amounts on line 5. Enter the total here and on Form 1040, line 3b	6	28,400

Part III Foreign Accounts and Trusts

7a At any time during the year, did you have a financial interest in or signature authority over a financial account located in a foreign country? ☐ Yes ☒ No

SCHEDULE D
(Form 1040)

Capital Gains and Losses
Department of the Treasury—Internal Revenue Service
Attach to Form 1040. Attachment Sequence No. 12

OMB No. 1545-0074
2025

Name(s) shown on return: Nathan & Elise Brightwater

Your social security number: 000-00-1301

Part I Short-Term Capital Gains and Losses — Generally Assets Held One Year or Less

		(d) Proceeds	(e) Cost	(g) Adjustments	(h) Gain or (loss)
1a	Short-term totals from Form 1099-B (basis reported to IRS)				
7	Net short-term capital gain or (loss). Combine lines 1a through 6 in column (h)			7	0

Part II Long-Term Capital Gains and Losses — Generally Assets Held More Than One Year

		(d) Proceeds	(e) Cost	(g) Adjustments	(h) Gain or (loss)
8a	Long-term totals from Form 1099-B (basis reported to IRS)	53,000	38,200		14,800
10	Long-term totals from Form(s) 8949, Box F checked				
13	Capital gain distributions			13	
15	Net long-term capital gain or (loss). Combine lines 8a through 14 in column (h)			15	14,800

Part III Summary

16	**Combine lines 7 and 15 and enter the result. Also enter on Form 1040, line 7**	16	14,800

Form 8960

Net Investment Income Tax—Individuals, Estates, and Trusts

Department of the Treasury—Internal Revenue Service

Attach to Form 1040. Attachment Sequence No. 72

OMB No. 1545-0074

2025

Name(s) shown on return: Nathan & Elise Brightwater

Your social security number: 000-00-1301

Part I Investment Income

1	Taxable interest (see instructions)	**1**	5,600
2	Ordinary dividends (see instructions)	**2**	28,400
4a	Rental real estate, royalties, partnerships, S corporations, trusts, etc.	**4a**	
4c	Combine lines 4a and 4b	**4c**	
5a	Net gain or loss from disposition of property	**5a**	14,800
5b	Net gain or loss from disposition of property that is not subject to net investment income tax	**5b**	
5d	Combine lines 5a through 5c	**5d**	14,800
8	Total investment income. Combine lines 1, 2, 3, 4c, 5d, 6, and 7	**8**	48,800

Part II Investment Expenses Allocable to Investment Income and Modifications

11	Total deductions and modifications	**11**	

Part III Tax Computation

12	Net investment income. Subtract Part II, line 11, from Part I, line 8	**12**	48,800
13	Modified adjusted gross income (see instructions)	**13**	458,800
14	Threshold based on filing status (see instructions)	**14**	250,000
15	Subtract line 14 from line 13. If zero or less, enter -0-	**15**	208,800
16	Enter the smaller of line 12 or line 15	**16**	48,800
17	**Net investment income tax for individuals. Multiply line 16 by 3.8% (0.038). Enter on Schedule 2, line 12**	**17**	1,854

Form 8889

Health Savings Accounts (HSAs)

Department of the Treasury—Internal Revenue Service

Attach to Form 1040. Attachment Sequence No. 52

OMB No. 1545-0074

2025

Name(s) shown on return	Your social security number
Nathan & Elise Brightwater	000-00-1301

Name of HSA beneficiary: Nathan Brightwater SSN 000-00-1301

Part I HSA Contributions and Deduction

1 Coverage under a high-deductible health plan (HDHP) during the year: ☐ Self-only ☒ Family

2	HSA contributions you made for the year (do not include employer contributions)	**2**	0
3	Contribution limit (family coverage)	**3**	8,550
6	Line 3 after spouse allocation	**6**	8,550
8	Add lines 6 and 7	**8**	8,550
9	Employer contributions made to your HSAs (Form W-2, box 12, code W)	**9**	8,550
11	Add lines 9 and 10	**11**	8,550
12	Subtract line 11 from line 8. If zero or less, enter -0-	**12**	0
13	**HSA deduction. Enter the smaller of line 2 or line 12. Enter on Schedule 1, line 13**	**13**	0

Part II HSA Distributions

14a	Total distributions you received in the year from all HSAs (Form 1099-SA)	**14a**	0